In addition to the Karen problem, the Burmese regime encountered difficulties in dealing with the Shan, Arakanese, Chin, and Kachin populations. Aung San's savvy political maneuvering in dealing with minority leaders helped to keep the peace at least temporarily. Many ethnic leaders did not see an advantage in being part of the newly forming Burmese state. The Panglong Agreement of 1947 temporarily calmed the ethnic problem by promising a Kachin state in the north, as well as autonomy for the Shan minority. The Chins were promised significant aid, which guaranteed their agreement to join the Union.

As chaos spread in Burma, Naw Sang, a Kachin commander, forged an alliance with the Karen in 1949. During the early months of 1949, the insurgency peaked, capturing Mandalay. However, by the fall the tide had turned in favor of the government forces. The lack of coordination and trust between ethnic groups allowed the Burmese military to successfully regroup under Ne Win. Though the rebellion lasted for several years, the initial gains made were not sustained.

THE CHINA PROBLEM

On October 1, 1949, Mao Zedong formally proclaimed the People's Republic of China, ending a decades-long civil war. Remnants of Chiang Kai-shek's nationalist forces crossed from Yunnan province into the Burma's Shan states. The initial wave of deserters, led by General Li Mi, crossed the border and did not threaten the stability in the Shan areas. The following year, a larger and more organized force of KMT soldiers entered Kengtung. The Guomindang forces enlisted local Shans and tribes to increase their strength. Eventually the Guomindang forces received extensive aid from Taipei and also covertly from the United States. With the subsequent conflict in Korea, the Burmese state worried about the real possibility of a communist Chinese invasion. The Guomindang forces moved family members to the region, intent on settling in for the long haul.

Further complicating matters, the Guomindang became heavily involved in the Southeast Asia opium trade. After U Nu pleaded with the United Nations for assistance, pressure was put on Taiwan to withdraw from Burma. The Guomindang forces were now becoming local insurgents with the main priority being the lucrative drug trade. Hundreds of forces